

FINAL SCORE: THE KNIGHT RIDERS RODE ON MAXIMUM MOOLAH

Team	Mumbai Indians	Kolkata Knight Riders	Delhi Daredevils	Chennai Super Kings	Royal Challengers	Rajasthan Royals	Kings XI Punjab	Deccan Chargers
Owners	Mukesh Ambani	Shah Rukh Khan, Juhi Chawla and Jai Mehta	GMR Holdings	India Cements	Vijay Mallya	Emerging Media	Preity Zinta, Ness Wadia and Mohit Burman	Deccan Chronicle
Franchisee fee for 10 years	\$111.9 m (Rs 447.6 cr)	\$75.09 m (Rs 300.3 cr)	\$84 m (Rs 336 cr)	\$91m (Rs 364 cr)	\$111.6 m (Rs 446.4 cr)	\$67 m (Rs 268 cr)	\$76 m (Rs 304 cr)	\$107.01 m (Rs 428 cr)
Payout each year	\$11.19 m (Rs 44.7 cr)	\$7.5 m (Rs 30 cr)	\$8.4 m (Rs 33.6 cr)	\$9.1 (Rs 36.4 cr)	\$11.16 m (Rs 44.6 cr)	\$6.7 m (Rs 26.8 cr)	\$7.6 m (Rs 30.4 cr)	\$10.7m (Rs 42.8 cr)
Key sponsors	MasterCard	Nokia & HDIL + 4 others	Hero Honda + 2 associate sponsors	Aircel + 2 associate sponsors	NIL	Bajaj Allianz + UB Group	Spice + 4 associate sponsors	Jaypee Group and UB Group
Estimated accruals from team sponsors	Rs 20 cr	Rs 45 cr	Rs 18 cr per year	Rs 20 cr	NA	Rs 20 cr	Rs 20 cr	Rs 24 cr
Approx gate revenues @ Rs 1.5 crore per match	Rs 10.5 cr	Rs 10.5 cr	Rs 10.5cr	Rs 10.5 cr	Rs 10.5 cr	Rs 10.5 cr	Rs 10.5 cr	Rs 10.5 cr
Media rights*	Rs 31.5 cr	Rs 31.5 cr	Rs 31.5 cr	Rs 31.5cr	Rs 31.5 cr	Rs 31.5 cr	Rs 31.5 cr	Rs 31.5 cr
Eight IPL teams to share 60 per cent share from central sponsorships (\$30.6 million)	Rs 9 cr	Rs 9 cr	Rs 9 cr	Rs 9 cr	Rs 9 cr	Rs 9 cr	Rs 9 cr	Rs 9 cr
Approximate local revenues from food & beverage, digital rights and local sponsors	Rs 2 cr	Rs 2 cr	Rs 2 cr	Rs 2 cr	Rs 2 cr	Rs 2 cr	Rs 2 cr	Rs 2 cr

* Eight franchise teams to get 80% of \$91.8 million media rights every year. Of this, 72% will be equally divided while the remaining 8% will be shared depending on performance. US\$1=Rs 40 at time of auction in January 2008.

close this tournament with a good profit.

While teams have started from ground zero in the first year, the key source of revenue has been the anchor or the title sponsors of individual teams. The going rate for title sponsors is \$3 million (Rs 12 crore) and thereafter the associate sponsors pay anything from Rs 2-3 crore. Says Anirban Das Blah, CEO of sports marketing firm Globosport: "Two teams will end up doing well financially this year. KKR as they have the maximum sponsorship deals and Rajasthan Royals, as they have the lowest cost." Says Fraser Castellino, CEO of Emerging Media, "The Valuation of any team will depend on performance and we recognised this early and focused on building the team." Media buying agencies say that while the title sponsorship for KKR has gone for Rs 12 crore, teams like Mumbai and Delhi would naturally command a premium.

While it's marketing sense that SRK is leveraging, for Vijay Mallya his IPL team Bangalore Royal Challengers is a marketing platform for his own brands. In fact, Mallya has one of his brands emblazoned across not only his team's

jerseys but also across four other IPL teams. So even if Rahul Dravid's boys put up a poor show, Mallya still has reason to cheer.

Some teams are selling sponsorships piecemeal. Says Hiren Pandit, managing partner of GroupM ESP, the consultancy firm hired by Deccan Chargers: "We decided to offer different pieces to different sponsors. Entertainment will be owned by one brand while the team will be sponsored by one." After three years, the franchisees will also have the option of getting listed on stock exchanges or to seek venture funding.

While the focus of most franchisees has been sponsorship deals, revenues from the home ground are no less. Given the 80,000 capacity of Eden Garden, KKR would have made Rs 2.5 crore per match. Most matches so far have seen packed houses, say franchise owners.

With the initial scepticism over city loyalties withering away, in the pipeline are loyalty clubs for fans who will cough up money to get autographed memorabilia and other membership benefits in return. For a league with no precedent the future seems unusually profitable. ■

Rs 45 cr

Shah Rukh Khan's Kolkata Knight Riders' earnings via sponsorship in the first year of the tournament